

December 1994. During creation of the chart pattern, price moved lower in a narrowing channel.

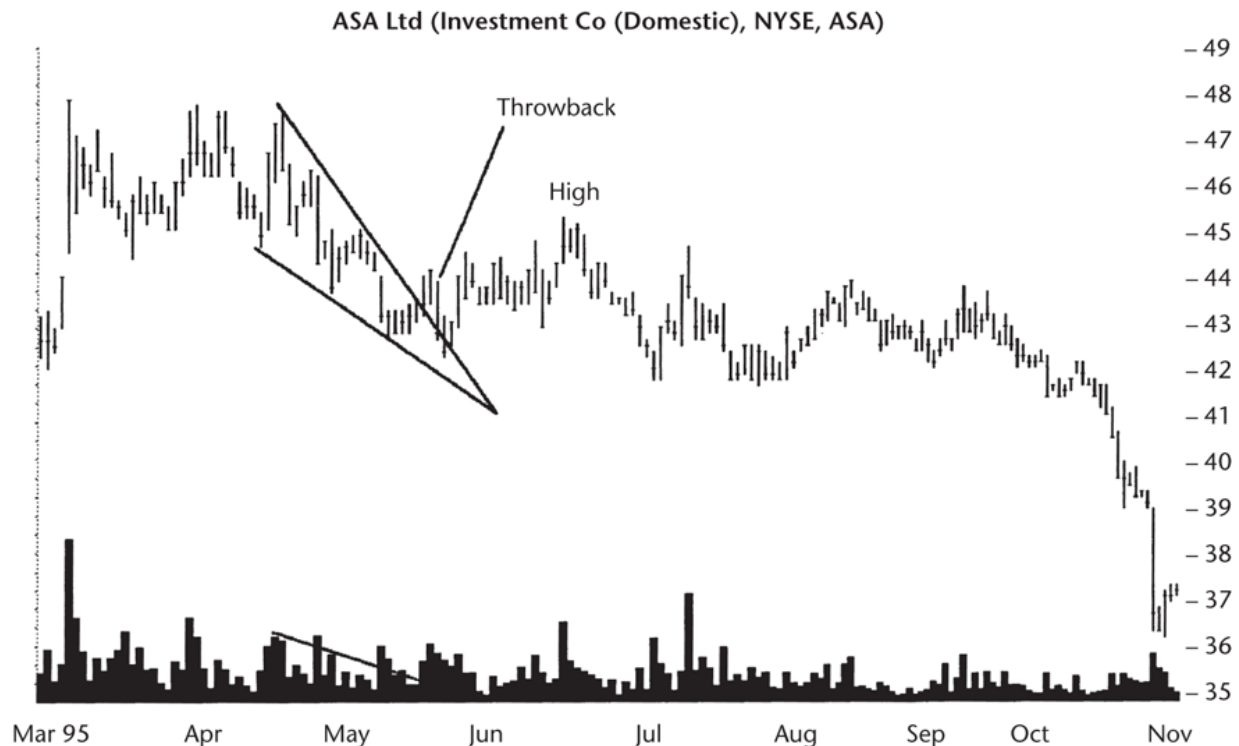


Figure 73.3 An example of a falling wedge 5% failure. Price does not move more than 5% above the breakout point before heading down again.

After the breakout, price climbed and reached a high of 45.38, less than 5% above the breakout price of 43.25. From the high, price headed down and fell to a low in late October of 36.38. The inability of price to continue rising more than 5% after the breakout constituted a 5% failure.

The causes of 5% failures can be many. Overhead resistance, as in this case, blocked the upward rise, so be sure to check for resistance before trading. For downward breakouts, look for nearby underlying support that may halt a decline.

Other causes may include a sharp drop in the stock market—that can keep an industry down for months (think of airline stocks after the tragedy of September 11, 2001, or during the Covid-19 pandemic in 2020). Certainly, a switch from bull markets to bear markets will tend to keep high-flying stocks cruising at a lower altitude, but even a short decline in the market can cause havoc.